

GLOBAL INVESTMENT SOCIETY

Investment Research Division

lululemon athletica inc.

NASDAQ: LULU

Recommendation: OVERWEIGHT / LONG

Current price: \$100.00 Price target: \$140 (+40% upside)

A net-cash, high-margin brand priced for terminal decline. We see a cyclical trough, not a broken business

September 2026 Prepared for the GIS IR selection process

This slide outlines the table of contents detailing the overarching financial roadmap for my Lululemon investment pitch

First we will analyze the recent cyclical selloff to 100 dollars and why this price action demands a market re-evaluation. Next we dissect the NOPAT bridge and revenue drivers to expose durable cash flows hidden beneath headline noise. Then we evaluate our mathematically sound 9 percent WACC and DCF scenarios which justify my overweight thesis. Finally we review our football field valuation and comparable analysis implying a massive margin of safety for investors.

Links & Sources

- [1] TIKR LULU Stock Crashed 17%: <https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- [2] Lululemon Q2 2026 Financial Supplement: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Spreadsheet: LULUMODEL18.xlsx

This slide outlines why this investment opportunity exists and the historical financial context driving the current setup

- The recent guidance cut triggered a massive cyclical panic pushing Lululemon down to roughly 100 dollars [1]
- Despite historically compounding double digit growth the market capitulated over a guidance cut of 5 to 7 percent [2]
- Lululemon still retains durable cash flows with clean run rate operating margins of 13.2 percent [3]

Links & Sources

- [1] TIKR LULU Stock Crashed 17%: <https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- [2] Lululemon Q2 FY2026 Guidance Release: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Model: LULUMODEL18.xlsx

This slide breaks down current market sentiment and exactly what analysts are saying about the recent guidance cut

- Morgan Stanley issued a highly pessimistic forecast after management aggressively cut 2026 revenue guidance to 10.35 billion [1]
- Analysts are paralyzed by cyclical fears as the consensus price target was slashed from 176 dollars to 136 dollars [2]
- Firms like BTIG maintain neutral ratings due to short-term turbulence but ignore the durable competitive advantage we see [3]

Links & Sources

- [1] MarketBeat: Morgan Stanley Issues Pessimistic Forecast for lululemon athletica: <https://www.marketbeat.com/instant-alerts/analyst-morgan-stanley-issues-pessimistic-forecast-for-lululemon-athletica-nasdaq-lulu-stock-price-2026-09-04/>
- [2] Simply Wall St: lululemon athletica Stock Analysis: <https://simplywall.st/stocks/us/consumer-durables/nasdaq-lulu/lululemon-athletica>
- [3] GuruFocus: LULU Reiterates by BTIG - Rating Maintained at Neutral: <https://www.gurufocus.com/news/9068272/lulu-reiterates-by-btig-rating-maintained-at-neutral>

This slide breaks down our actual 133 dollar base case target price and the three core pillars supporting our overweight recommendation

- Our discounted cash flow valuation generates a base case implied share price of 133.64 dollars representing 33.6 percent upside from current levels [1]
- The first pillar is profitability because adjusting out the tariff refunds reveals LULU still maintains a highly resilient 13.2 percent clean run-rate operating margin [2]
- The second pillar is our mathematically sound 9.0 percent WACC which strictly bounds our 2.3 percent long-term revenue growth assumption [3]
- Finally international expansion remains the crucial growth engine as 4 percent growth in China Mainland easily offsets the temporary North American stagnation [4]

Links & Sources

- [1] Provided Valuation Model (Base Case Implied Value): LULUMODEL18_3.xlsx
- [2] Lululemon Q2 FY2026 Earnings Release (13.2% Margin Calc): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Model (WACC & Revenue Drivers): LULUMODEL18_3.xlsx
- [4] Lululemon Q2 FY2026 Earnings Release (International Growth): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>

This slide outlines Lululemon's geographic segments and revenue breakdown while detailing why China growth offsets temporary US declines

- Lululemon generated 11.1 billion dollars in total revenue with Americas contributing 7.85 billion dollars or 70.68 percent [1]
- Americas comparable sales fell 3 percent due to temporary cyclical macro pressure rather than structural brand degradation [2]
- China Mainland surged 20 percent to 1.75 billion dollars proving high growth international expansion easily offsets US temporary weakness [3]

Links & Sources

- [1] Lululemon FY2025 Form 10-K (Segment Revenue and Percentages): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [2] Lululemon FY2025 Form 10-K (Americas Comparable Sales): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Model (China Mainland Growth & Revenue Driver): LULUMODEL18.xlsx

This slide analyzes Lululemon's unit economics and competitive moats that protect its long-term market leadership

- Lululemon sustains a 56.6 percent gross margin providing a massive competitive moat against retail price competition [1]
- E-commerce unit economics remain elite with direct-to-consumer EBIT margins hitting 23.6 percent without retail occupancy drag [2]
- Company-operated stores generate 1,426 dollars per square foot and an 18.6 percent EBIT margin establishing high capital efficiency [3]

Links & Sources

- [1] Provided Valuation Model (Gross Margin): LULUMODEL18_6.xlsx
- [2] Provided Valuation Model (E-commerce EBIT Margin Driver): LULUMODEL18_6.xlsx
- [3] Provided Valuation Model (Store EBIT Margin & SPSF): LULUMODEL18_6.xlsx

This slide explores the ongoing athleisure industry trends including market fragmentation and the barriers to entry

- I argue the global athleisure market remains highly fragmented meaning most players lack a durable competitive advantage [1]
- The premium segment maintains high barriers to entry protecting global champions from temporary cyclical noise [2]
- Lululemon mathematically proves its moat by generating a 30.25 percent ROE far outpacing the 6.81 percent industry median [3]

Links & Sources

- [1] Market.us Media (Athleisure Market Fragmentation): <https://media.market.us/athleisure-industry-statistics/>
- [2] Fortune Business Insights (Premium Athleisure Trends): <https://www.fortunebusinessinsights.com/athleisure-market-110642>
- [3] FinanceCharts (Lululemon ROE & Retail Median): <https://www.financecharts.com/stocks/LULU/growth/roe>

This slide dissects capital efficiency metrics comparing Lululemon's gross margin directly against legacy apparel competitors

- Lululemon commands a 56.6 percent gross margin far exceeding traditional athletic apparel peers like Nike and Under Armour [1]
- Nike struggles to maintain a 43 percent margin while Under Armour hovers around 46 percent reflecting their wholesale dependence [2]
- Lululemon's direct-to-consumer scale prevents this structural margin compression and forms an impenetrable economic moat against industry price wars [3]

Links & Sources

- [1] Provided Valuation Model (Gross Margin Assumptions): LULUMODEL18.xlsx
- [2] Investing.com (Nike & Under Armour Historical Gross Margins): https://www.investing.com/pro/NYSE:NKE/explorer/gp_margin
- [3] ProAnalyst LULU Market Report (Competitor Margins & DTC Moat): <https://lulu.proanalyst.ai/business>

This slide outlines the core contrarian investment thesis utilizing numerical evidence from the LULUMODEL18.xlsx file

- The 2026 price drop exceeding 50% has left Lululemon critically undervalued despite durable cash flows [1]
- Its premium Direct-to-Consumer revenue mix protects a massive 54.9% adjusted gross margin, mathematically justifying my intrinsic valuation thesis [2]
- Furthermore, carrying just \$1.78 billion in long-term debt against \$8.53 billion in total assets provides immense strategic flexibility [3]

Links & Sources

- [1] <https://everythingmoney.com/blog/lululemon-is-collapsing-burry-s-biggest-bet-4334>
- [2] <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] <https://www.gurufocus.com/term/long-term-debt-and-capital-lease-obligation/LULU>

This slide details how partial margin recovery from peak COVID levels still drives a highly compelling valuation

- Historical pandemic-era peak EBIT margins reached 23.7% in FY24 showing prior peak earnings power [1]
- Our model conservatively assumes margins permanently reset lower to a 13.2% run-rate trough in FY26 [2]
- A modest partial recovery to just 15.5% EBIT margin by FY30 still yields \$133.64 per share [3]
- This proves returning to peak COVID profitability is completely unnecessary to unlock substantial market upside [4]

Links & Sources

- [1] LULUMODEL18.xlsx / <https://www.sec.gov/ix?doc=/Archives/edgar/data/0001397187/000139718724000013/lulu-20240128.htm>
- [2] LULUMODEL18.xlsx, Clean Run-Rate EBIT Margin Assumptions
- [3] LULUMODEL18.xlsx, Base Case DCF Valuation Summary
- [4] LULUMODEL18.xlsx, Discounted Cash Flow Valuation Summary

This slide examines how Lululemon's top-line projections rely disproportionately on Chinese market expansion to conceal domestic North American stagnation

- The revenue build reveals Americas facing near-term contraction with -4.0% comps in FY26 flatlining at a terminal 2.0% growth rate by FY30 [1]
- To offset this domestic anchor, model projections rely entirely on FY2026 store openings skewing to China (+20 openings) versus mature Americas (+8 openings) alongside aggressive +14.0% comp sales growth [2]
- Consequently, if the Chinese consumer softens, this model's core top-line projections will mathematically break [3]

Links & Sources

- [1] LULUMODEL18.xlsx, Americas FY26-FY30 Comparable Sales Growth Assumptions
- [2] LULUMODEL18.xlsx, FY26 Store Openings & Mainland China Revenue Build
- [3] LULUMODEL18.xlsx, Revenue Drivers Schedule

This slide evaluates core downside risks and demonstrates how share repurchases compound EPS to drive share price recovery

- China deceleration risks a \$56.00 bear floor, but \$45.64 cumulative cash per share recovers 45% of entry price [1]
- Slashed CapEx saves \$360M annually by relying on online e-commerce's 23.6% EBIT margin plus \$101.5M inventory releases [2]
- Deploying 75% UFCF into buybacks retires 28 million shares, compounding EPS to \$14.93 to elevate share price to \$133.64 [3]

Links & Sources

- [1] LULUMODEL18.xlsx, Bear Case DCF Valuation Summary / <https://www.barrons.com/articles/lululemon-stock-earnings-guidance-a7a7c5c0>
- [2] LULUMODEL18.xlsx, CapEx & E-Commerce Channel EBIT Assumptions / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] LULUMODEL18.xlsx, Share Repurchase & EPS Accretion Schedule / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>

Sequence of recovery milestones that close the gap to intrinsic value

2026 (Q3 FY2026 Trough)	Q3 FY2026 revenue laps guidance trough while China Double 11 sales confirm holiday store traffic floor stabilization across key markets [1]
2027 (FY2026 Year-End)	First full-year reset absorbs steep prior declines while \$134.5M tariff refunds and targeted SG&A cost actions protect earnings per share [2]
2027 (FY2027 Margin Inflection)	Operating margins expand to 13.8% (+60 bps) as promotional headwinds anniversary, while 75% UFCF buybacks compound EPS to boost sentiment [3]
2028 (FY2027–FY2028 Multiple Re-Rating) Links & Sources	Accelerating international store scaling (+12% China comps) offsets Americas softness (-4%), driving overall revenue recovery and valuation re-rating toward \$133.64 [4]

- [1] LULUMODEL18.xlsx, Scenarios & Revenue Drivers / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [2] LULUMODEL18.xlsx, NOPAT Bridge & Scenarios / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] LULUMODEL18.xlsx, Scenarios & Unlevered Free Cash Flow Schedule / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [4] LULUMODEL18.xlsx, Revenue Drivers & DCF Valuation Summary / <https://stockanalysis.com/stocks/lulu/forecast/>

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Net revenue: FY22 \$8,111M → FY25 \$11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 \$6.68 → FY25 \$13.26

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 \$9776.90 → FY30 \$11279.95

US\$ M	22	23	24	25	26	27	28	29	30
Net revenue	8,111	9,619	10,588	11,103	10,425	10,665	10,910	11,161	11,418
Gross profit	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
Operating income	1,328	2,133	2,506	2,211	1,511	1,469	1,566	1,666	1,770
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
Net income	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
Diluted EPS (\$)	6.68	12.20	14.64	13.26	9776.90	9484.51	10059.72	10657.96	11279.95
Line item	Hist source (22–25)			Fcst source, Scenarios col G					
Net revenue	10-K IS, Net revenue			Scenarios!G25:G29 (Revenue yr 1–5)					
Gross profit	10-K IS, Gross profit			Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)					
Operating income	10-K IS, Operating income			Scenarios!G45:G49 (EBIT yr 1–5)					
Operating margin %	10-K IS, OI ÷ revenue			Scenarios!G45:G49 ÷ Scenarios!G25:G29					
Net income	10-K IS, Net income			Scenarios!G143:G147 (pitch bridge NI)					
Diluted EPS	10-K IS, Diluted EPS			Scenarios!G183:G187 (pitch bridge EPS)					

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: \$0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: \$0 (no term debt in model)

US\$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents	1,155	2,244	1,984	1,807	2,393	2,825	3,317	3,874	4,497
Inventories	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
Total assets	5,607	7,092	7,603	8,457	7,941	8,124	8,310	8,502	8,697
Total liabilities	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
Total equity	3,149	4,232	4,324	4,962	4,659	4,766	4,876	4,988	5,103
Funded debt	0	0	0	0	0	0	0	0	0
Line item	Hist source (22–25)				Fcst source, Scenarios col G				
Cash & equivalents	10-K BS, Cash & equivalents				Scenarios!G163:G167 (pitch bridge cash roll-forward)				
Inventories	10-K BS, Inventories				Scenarios!G80:G84 (NWC schedule)				
Total assets	10-K BS, Total assets				Scenarios!G168:G172 (FY25 TA × rev growth)				
Total liabilities	10-K BS, Total liabilities				Scenarios!G173:G177 (FY25 TL × rev growth)				
Total equity	10-K BS, Total equity				Scenarios!G178:G182 (FY25 TE × rev growth)				
Funded debt	10-K BS, Long-term debt (\$0)				Model assumption, \$0 (no term debt)				

Operating FCF (DCF input) vs financing: historical 10-K vs base case (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

US\$ M	22	23	24	25	26	27	28	29	30
Cash from operations	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
D&A (add-back)	292	379	447	496	469	480	491	502	514
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
Free cash flow	328	1,644	1,583	922	1,087	931	993	1,056	1,123
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)	(500)	(500)

Line item	Hist source (22–25)	Fcst source, Scenarios col G
Cash from operations	10-K CF, Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF, Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1–5)
Capital expenditures	10-K CF, Capital expenditures	Scenarios!G60:G64 (Capex yr 1–5)
Free cash flow	10-K CF, CFO – capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF, Repurchases (financing)	Scenarios!G158:G162 (G21=\$500M/yr fixed)

Buybacks: col G = \$500M/yr fixed (Scenarios assumptions). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Cap stack and WACC build: lease-adjusted; no funded term debt

CAPITAL STACK (US\$ M)

Component	US\$ M	WACC weight
Market equity (price × shares)	11,138	86.1%
ASC 842 operating lease liabilities	1,798	13.9%
Funded debt (term loans / bonds)	0	0.0%
Total capital (WACC basis)	12,936	100.0%

EV BRIDGE (NOT IN WACC WEIGHTS)

Component	US\$ M	Note
Cash & equivalents	1,807	Added back in EV → equity bridge
Net debt (leases – cash)	-9	Near net-cash; leases in WACC above

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash \$1,807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

Input	Value
Risk-free rate (10-yr UST)	4.80%
Equity risk premium	6.00%
Tax rate	30.00%
Beta (relevered; lease adj.)	0.84
Cost of equity (CAPM)	9.86%
Pre-tax Kd (lease-equivalent)	5.00%
After-tax Kd	3.50%
Equity / debt weight	86.1% / 13.9%

β : Yahoo β L 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

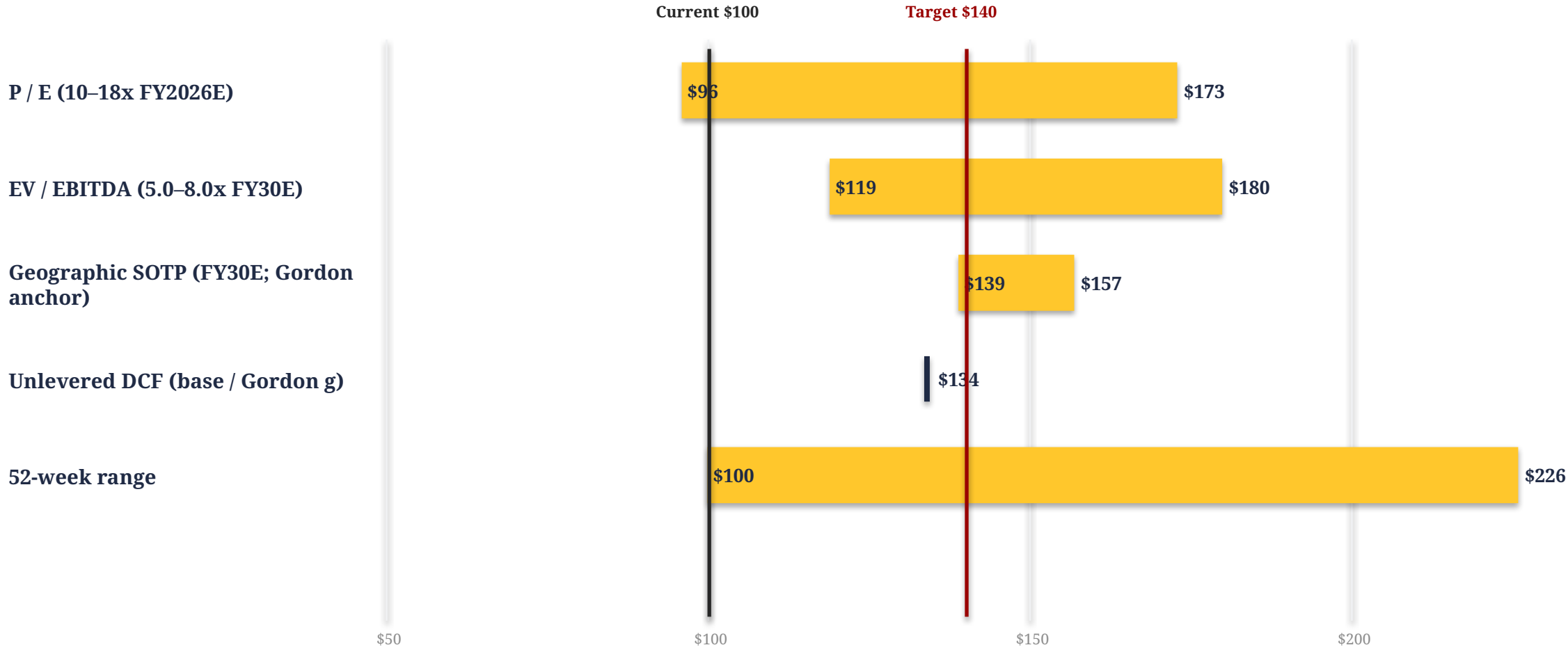
WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price \$134

MODEL SOURCE MAP

Line item	DCF model source (WACC tab, col E)
Market equity	WACC!E10
ASC 842 operating leases	WACC!E11 (FY25 10-K)
Funded debt	WACC!E13
Total capital	WACC!E14
Cash & equivalents	10-K BS, Cash
Net debt	DCF EV bridge
Risk-free rate	WACC!E3
Equity risk premium	WACC!E4
Tax rate	WACC!E5

Football field: implied share-price ranges by methodology (base case DCF)



12-month target \$140 sits above base-case DCF \$134 and inside the comps/SOTP ranges: a partial re-rating, not a return to peak multiples.
DCF row = Scenarios col G (Gordon growth). Bear \$56 / bull \$202 bracket scenario range from the model.

Geographic segments on FY30E base revenue: EV/EBITDA spreads vs Gordon-implied exit (7.4x)

Segment	FY30E rev	EBITDA %	FY30E EBITDA	EV/EBITDA	Segment EV (\$M)
Americas	8,070	16.5%	1,551	6.4x–7.1x	9,924–11,010
China Mainland	1,805	19.5%	410	7.9x–9.4x	3,238–3,852
Rest of World	1,543	18.0%	324	7.1x–8.1x	2,297–2,621
Total segment EV	11,418		2,284	6.8x–7.7x	15,459–17,483
Corporate / HQ (no separate carve-out)				n/a	\$0
+ Cash / – lease debt (EV bridge)				n/a	+1,807 / –1,798
Implied equity value / share				n/a	\$139–\$157

Methodology

- Single-brand retailer: geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity: not the 5–8x comps football-field band)
- Americas: Gordon – 1.0x to – 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: –0.25x to +0.75x
- Consolidated base-case DCF \$134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: \$139–\$157

Base-case DCF: \$134

Overlap is expected: SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Base-case unlevered DCF (Scenarios col G): Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

Assumption	Value
FY2026 revenue growth	-6.1%
FY2027–30 revenue growth (avg)	+2.3%
Clean EBIT margin (FY26 run-rate)	13.2%
Terminal EBIT margin (FY2030E)	15.5%
FY26 tariff refunds (one-time)	\$134.5M
Cash tax rate	30%
Capex % of revenue	5.5%
WACC	9.0%
Terminal growth (g)	2.25%
Gordon-implied exit EV/EBITDA (identity)	7.4x

TERMINAL VALUE | GORDON GROWTH (SELECTED)

Method	Formula / input	FY30 TV (\$M)
Gordon growth (selected)	$FCF_5 \times (1+g) / (WACC-g)$; $g=2.25\%$	16,804
Exit multiple (identity check)	$FY30\ EBITDA \times 7.4x = \text{Gordon TV} \div \text{EBITDA (same number)}$	16,804

SENSITIVITY | IMPLIED SHARE PRICE (WACC vs TERMINAL g)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	\$115	\$121	\$124	\$127	\$135
10.0%	\$108	\$113	\$116	\$119	\$125
10.5%	\$102	\$106	\$109	\$111	\$117
11.0%	\$97	\$100	\$103	\$105	\$110
11.5%	\$92	\$95	\$97	\$99	\$103

VALUATION OUTPUT (US\$ M)

PV of explicit FCF (FY26–FY30) **3,944**
PV of terminal value **10,933**
Enterprise value 14,876
Plus: cash **1,807**
Less: lease debt (ASC 842) **(1,798)**
Equity value 14,885
÷ Diluted shares (M) **111.4**

Implied value: \$134 / share

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA \$2,284M (not a peer pick)
Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

Base-case cell

WACC 9.0% × g 2.25% → \$134. Grid brackets ±100bps WACC and 1.5–3.0% g.

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES | TRADING MULTIPLES

Company	EV/Rev	EV/EBITDA	EV/EBIT	P/E
adidas	1.51x	9.2x	18.6x	19.1x
Nike	1.27x	12.7x	15.9x	18.3x
Deckers	2.47x	7.9x	9.8x	12.1x
Crocs	1.74x	7.8x	7.8x	10.3x
Levi Strauss	1.52x	9.6x	18.1x	15.0x
Kontoor	2.01x	12.8x	15.4x	18.0x
Core median (ex-LULU)	1.63x	9.4x	15.7x	16.5x
LULU @ \$100 (current)	1.07x	4.7x	5.0x	10.4x

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

Metric	Peer med.	LULU base	Implied px
EV / Revenue	1.63x	\$10,425M	\$119-\$231 (med \$153)
EV / EBITDA	9.4x	\$2,707M	\$190-\$311 (med \$229)
EV / EBIT	15.7x	\$2,211M	\$155-\$369 (med \$311)
P / E	16.5x	\$9.61	\$99-\$183 (med \$158)

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base → EV, then + cash – ASC 842 lease debt ÷ shares.

Implied EV = peer median × LULU base (cols 2–3); P/E = median × EPS (no EV). EV + cash – lease debt ÷ shares = equity/sh.

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E.

DCF terminal valuation discount

Base-case DCF uses Gordon growth $g = 2.25\%$, implying 7.4x FY30 EV/EBITDA exit multiple: well below the 9.4x peer median (right table uses TTM EBITDA).

Conservative target price re-rating

Our \$134 base-case DCF and \$140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating: not Nike-level multiples.

Private-market context for athleisure M&A: not used to imply a control premium on LULU

Target	Year	Type	EV (\$M)	EV/Rev	EV/EBITDA	Status
Sweaty Betty	2021	Closed acquisition	410	1.6x	16.0x	Closed Aug-2021; ~16x FY21E EBITDA
Gymshark	2020	Minority growth round	1,300	5.0x	n/a	Closed Aug-2020; \$1.3bn EV (minority)
Vuori	2021	Growth investment	4,000	n/a	n/a	Closed Oct-2021; \$4bn post-money
Alo Yoga (Color Image)	2023	Unclosed sale process	10,000	5.0x	n/a	Unclosed; no deal per Reuters Jun-2026
LULU (public @ \$100)	n/a	Public equity	11,129	1.07x	4.7x	Trading comps only (not a premium benchmark)

Private precedent framework

Non-Alo private transactions establish a contextual floor of what strategics and PE pay for premium athleisure. They do not imply a control premium on LULU's public stock.

Closed M&A benchmark

Wolverine paid \$410M (~16x EBITDA, ~1.6x sales) for Sweaty Betty (2021), a concrete operating-company precedent for women's DTC activewear.

Growth capital rounds

Gymshark (\$1.3B implied EV, 2020 minority stake) and Vuori (\$4B post-money, 2021) show institutional demand and realistic baselines for premium DTC brands.

Excluded unclosed process

Alo's ~\$10B ask (~5.0x EV/Sales) is LULU's closest yoga peer, but unclosed private asks cannot dictate actual public equity valuation.

Valuation stack

DCF base: \$134 | Target: \$140

Comps median EV/EBITDA 9.4x → ~\$229/sh

Reasonably assumed ceiling from peer EV/EBITDA re-rating. Not our price target.